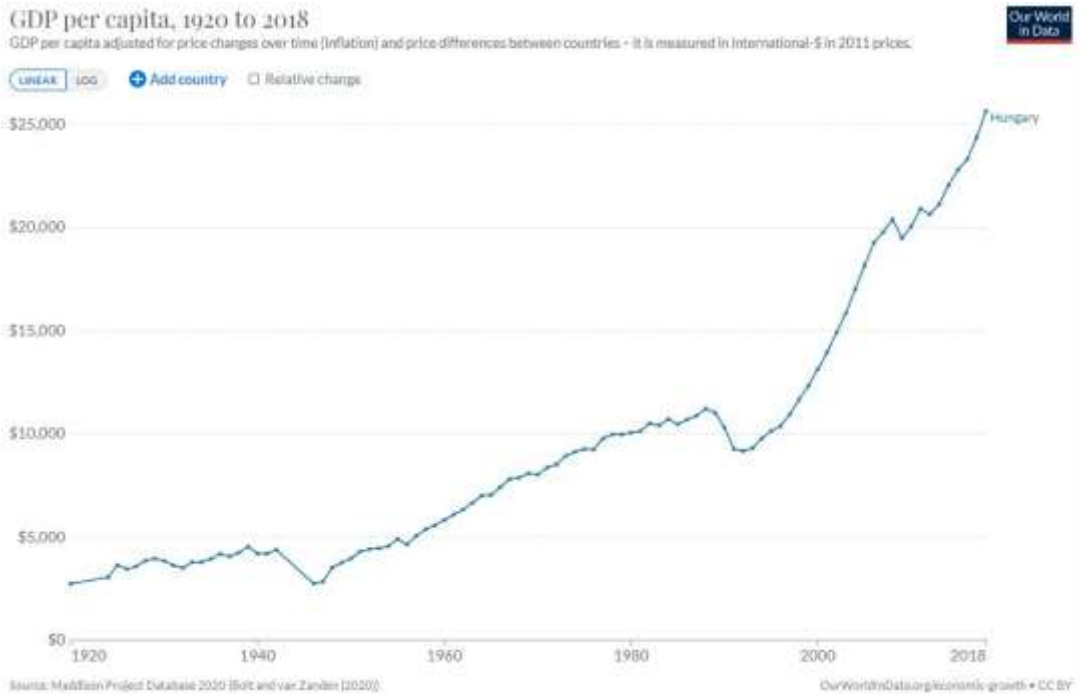
Investment strategy

{Homing in on Hungarian markets}

By: Peter Polner

Hungary's nominal GDP

- $180.959 Billion Nominal GDP
- 19th biggest jump of (nominal) GDP per capita from 2020-21
- 22nd largest (nominal) GDP in Europe



Source: https://statisticstimes.com/economy/european-countries-by-gdp.php

Forint Purchasing Power Parity

- $359.901 Billion PPP
- 20th largest purchasing power in Europe
- Weak currency is a Pro & Con





Pros

- Higher Purchase power via USD or EUR
- Longer time adopting to uniform euro
- Volatility = Good for Currency Trading
- May Strengthening in future; good for long-term hold

Cons

- May be less legitimate
- Longer time adopting to uniform euro/eurozone
- Inflation, Price Hikes
- Could be pushed made weaker, by politics

Hungarian Stock exchange

- 2nd largest stock exchange in Central and Eastern Europe by market capitalization and liquidity.
- On the same Trading System (Xetra) as Hong Kong and the United Arab Emirates



INDEXES

- Indexes provide Intel on the economy
- BSE has one Index, BUX

BUX: Budapest Stock Exchange Index



Compared To Similar markets

Budapest is leading above other similar markets such as Prague and Warsaw which are more heavily “westernized”. Strong growth can be seen around 2015 when strong market changes (including a real estate crash) created more market opportunities.

BUX Buildup

Company	Ticker	Index weighting
OTP Bank	OTP	39.49%
MOL Group	MOL	25.60%
Gedeon Richter	RICHT	22.12%
Magyar Telekom	MTEL	5.21%
Opus	OPUS	2.24%
4iG	4IG	0.96%
Graphisoft Park	GSPARK	0.69%
Masterplast	MPLAST	0.62%
ANY Security Printing	ANY	0.57%
AutoWallis	AUTOW	0.52%
ALTEO	ALTEO	0.46%
Waberer's International	WABS	0.42%
CIG Pannonia Life Insurance	CIG	0.40%
PannErgy	PERGY	0.30%
AKKO Invest	AKKO	0.20%
Appeninn Asset Management	APPEN	0.18%

The BUX Budapest stock exchange is currently built up of Hungary's 16 biggest stocks according to free-float capitalization weightings, instead of market capitalization. Budapest being one of the first to implement this method

Analyzing Buildup

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The index is built up of strong industrial sectors; leading in banks, energy, pharma, telecommunication, and other industrials. Like the Dow in the US, it shows the beating heart of the economy, even though BUX is more saturated.

Political Situation in Hungary

●**Positive** ●**Neutral** ●**Negative**

- EU, NATO member
- Oligarchy type corruption
  - (Little to no pushback from EU)
- Russian influence
- It is within the country's best interest to keep economy thriving to support the populist policies of incumbent president Orban Viktor

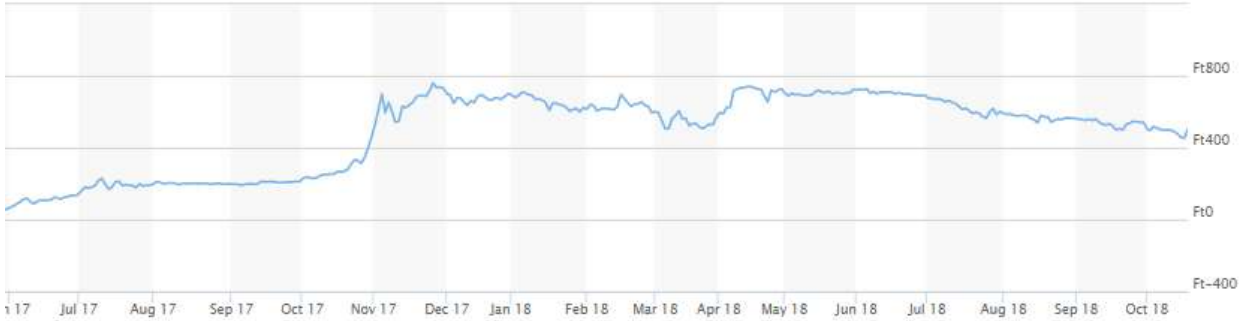
Legalized Corruption

- It Is common knowledge that Eastern European markets are not well regulated; which leads to the formation of “oligarchs” and people with major monopolies on the market
- Since Hungary has been somewhat legitimized by being in NATO and the EU most of the corruption is overlooked

Why is Corruption overlooked?

- Corruption mostly happens internally, which is why Internationally its ignored
- Just the right amount of safety precautions are in place that corruption should be hard to commit, but the same government that puts the precautions in place is the same one profiting from said corruption

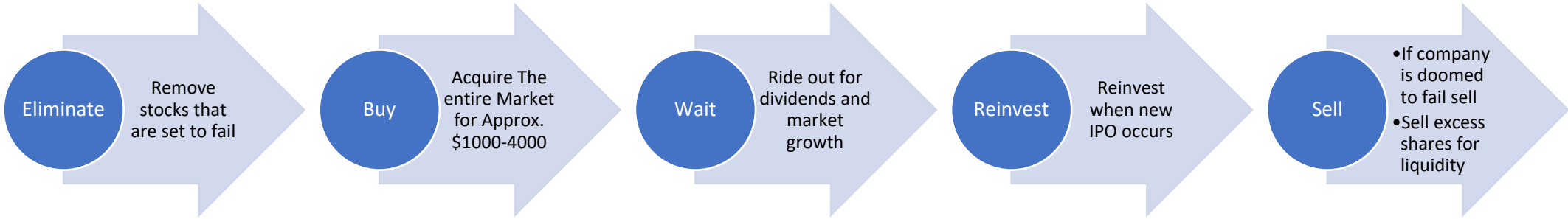
Legalized Corruption Case Study: Opus Investments





- Owned by Mészáros Lőrinc, who made his fortune by being friends with Orbán Viktor
- He worked Closely with the government making money from government grants/contracts
- Then with his fortune he began to acquire Media, Real Estate, and Other ventures
- He developed an economic monopoly over Hungary, soon set to become one of the richest men in hungary
- You can however buy shares of his holding company Opus Investments on The Budapest Stock Exchange

The Gameplan



Summary

- Having investment in a market in its infancy is a rare and possibly valuable occurrence
- We must stay wary of companies that are set to fail
- Staying aware of political situation(s) could help our edge
- HOLD, HOLD, HOLD, this is a passive investment strategy
- We could apply the same strategy to different emerging markets